GMS WEEKLY

Your Source for Recycling News

April 14th, 2023
Volume 248, Issue 1078
Week 15

Highlights:

- **Relative gloom.**
- **Ramadan ongoing.**
- **Falling steel.**
- **Busy start.**
- **Supply slows.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"What you get by achieving your goals is not as important as what you become by achieving your goals."

– Zig Ziglar

MARKET COMMENTARY

TAKING A BACKSEAT!

A comparable gloom has descended across all of the major ship recycling destinations whilst prices, demand, and sentiments are all retreating, as a miserable supply of tonnage and continued struggles on L/C financing issues plague the most recent deliveries into Bangladesh and Pakistan, the recycling industry has certainly been through a tough and quiet week.

The ongoing month of Ramadan has also led to much softer sentiments across the board, as ongoing religious festivities are observed, and business takes a backseat for the time being. Volatile steel plate prices have not helped the current situation brewing at the various recycling destinations either, and this has seen most end users of fresh tonnage abstain from buying, choosing instead to wait and watch developments and how the market opens post Ramadan, before offering afresh on any new vessels being proposed.

The primary problem for recyclers at all the major locations is the ongoing and noticeably painful shortage in the supply of vessels for recycling, as freight markets in Dry Bulk and Containers have shown some renewed positivity of late.

As such, after a decade long low supply and activity, last year even though it seemed as though it would been an overall busy and bullish start to 2023 for the major recycling markets. However, things seem to be easing off even before May arrives and the customary cooling of performance in the sub-continent markets due to the oncoming Monsoon season will only further aggravate the present situation – despite the state of supply and the current (and plenty of) availability of space at dormant plots.

Making matters worse, with both Bangladesh and Pakistan markets still requiring lengthy central state bank approval processes to open new L/Cs, it is certainly going to be a painful process to get vessels delivered (in time) moving forward, and patience / extra waiting times will certainly be required from those Owners / Cash Buyers seeking to deliver units moving forward. Lastly, the Turkish market echoes virtually identical sentiments and fundamentals as the sub-continent markets, including the Lira, which continues to relapsefurther every week.

For week 15 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Positive	590 / LDT*	610 / LDT*	630 / LDT*
2	India	Positive	570 / LDT	580 / LDT	600 / LDT
3	Pakistan	Weak	540 / LDT*	550 / LDT*	560 / LDT*
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

**Subject L/C approval*

All at GMS would like to wish readers a Happy Ramadan!

BANGLADESH

STRESSES AND STRAINS!

Difficult deliveries.

A difficult week on deliveries and L/C approvals has descended across the Bangladeshi ship recycling sector, despite several new well priced sales being concluded and even large LDT units greeting the waterfront through the course of the week – all this bearing in mind the ongoing financing hurdles faced on the large LDT transactions.

Adding caution to the ongoing situation are local fundamentals, whereby local steel plate prices flatlined again through the course of the week, while the Bangladeshi Taka continues to volley in the early BDT 106 against the U.S. Dollar.

Various sales.

As such, the sales of the week certainly raised an eyebrow, given that the General Cargo vessel ATLANTIC RAY (2,461 LDT), built in Turkey, with a steel propeller, eventually managed to obtain a fantastic USD 620/LT LDT – showing that smaller LDT units are very much the flavour of the moment. This was also the case with the LPG APOLLO PACIFIC (2,188 LDT), sold from Vietnamese owners for a very firm USD 655/LT LDT.

Finally, the handy Logger Bulker OCEAN GREAT (6,311 LDT) from Chinese Sellers was committed for a decent USD 575/LT LDT.

Time will tell whether central bank permission on these various transactions (as well as Cash Buyer inventories) will get approval, especially while the strained financial situation in Bangladesh continues to show few signs of abating just yet.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
APOLLO PACIFIC	LPG	2,188	USD 655/LT LDT
ATLANTIC RAY	General Cargo	2,461	USD 620/LT LDT
OCEAN GREAT	Bulker	6,311	USD 575/LT LDT

INDIA

DELUGE TO TRICKLE!

As the charter market picks up in this previously beleaguered sector, India has seen the marginal number of its favoured HKC container candidates snatched away from their grasp over the last few weeks.

Missing out.

The above, coupled with the overall supply of vessels that has started to slow, as recycling prices continue cool off and what was once a deluge at the turn of the year has eventually turned into a trickle of tonnage, and it may be a quieter second quarter to the year if the current trends persist in Alang, especially as the monsoon season gradually rears its head over the horizon.

Better performers.

Pricewise, India does remain second placed to Bangladesh, although there is the greater comfort factor of comparatively more reliable and prompter performance on L/Cs, giving Owners and Cash Buyers more incentive to head towards Alang on any available ships, despite the cheaper rates.

Fundamentals-wise, local steel plate prices declined a marginal USD 5/Ton, while the Indian Rupee continues to slide around the Rs. 81.8X mark against the U.S. Dollar.

NO MARKET SALES REPORTED

PAKISTAN

OUT OF CONVERSATION!

Uncertain.

Pakistan is out of the conversation regarding negotiations on any vessels for recycling, so low and so unreliable / uncertain are Local Buyers on price and workable L/Cs at present – and have been for a couple of months now.

The Pakistani Rupee has certainly endured a torrid and unprecedented collapse over the last year at least, and this has left most Buyers incapable of performing with yards closing and the government stepping in to work with the central bank on approvals on the expenditure on any precious US dollar reserves in the country.

Bleak outlook.

Notwithstanding, despite local steel plate prices flatlining (like the Bangladeshi market) through the week – the Pakistani Rupee firmed to the early PKR 284 against the U.S Dollar.

As such, local port reports remain bleak, as does the outlook in Pakistan for the remainder of the next quarter (if not the rest of the year), unless financing issues can be resolved, and some stability can be brought back to the currency and local fundamentals in the country.

NO MARKET SALES REPORTED

TURKEY

GLOBAL SYMPTOMS!

Import and steel fall.

Like all of the major ship recycling destinations, Turkey continues to suffer through the ongoing shortage of supply. Tonnage is painful to come by and the easing fundamentals is making harder for Aliaga Recyclers to maintain their historically impressive levels for much longer.

Both import and local steel plate prices have fallen by about USD 5/Ton this week as the Lira continues to gradually sink against the U.S. Dollar approaching TRY 19.40.

Price weakening?

It does seem as though the rumours of local fixtures were just that, and as though the Turkish market is similar to the Pakistani market, with a declining currency, absence of tonnage, and a market that may well start weakening in the near future, it is going to be a tough summer for the Turkish market.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Venus is the hottest planet in the solar system and has an average surface temperature of around 450° C. Did you know that Venus isn't the closest planet to the sun? That is Mercury. You would think that Mercury would then be the hottest, but Mercury has no atmosphere (which regulates temperature), resulting in big fluctuations.*
- *While the entire suit costs a cool $12m, 70% of that cost is for the backpack and control module. However, the space suits that NASA uses were built in 1974. If these were priced by today's pricing, they would cost an estimated 150 million dollars!*
- *The Sun accounts for 99.86% of the mass in our solar system with a mass of around 330,000 times that of Earth. Did you know that the Sun is made up of mostly hydrogen (three quarters worth) with the rest of its mass attributed to helium. If the Sun had a voice would it be high and squeaky from all that helium?*
- *The Sun is large enough that approximately 1.3 million Earths could fit inside (if squashed in) or if the Earths retained their spherical shape then 960,000 would fit. But can you visualize that number of Earths?*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
April 22 – Eid-ul-Fitr May 01 – Labor Day May 05 – Buddha Purnima	April 18 – April 25 May 04 – May 11 May 16 – May 24

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
April 19 – Shab-E-Qadr April 21 – April 23 – Eid-ul-Azha May 01 – May Day May 04 – Buddha Purnima	April 19 – April 22 May 05 – May 08 May 18 – May 21

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
May 01 – 03 – Labor Day	April 22 – April 24 - Eid-ul-Fitr May 01 – Labor Day	April 20 – April 24 – Ramazan Bayrami May 01 – Labor and Solidarity Day May 19 – Youth and Sports Day

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ALANG - Port Position as of April 14, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Augusta II	9,920	Oil Tanker	Arrived April 12
2	Ice	9,646	Drill Ship	Beached April 08
3	Leonard	7,852	Container	Beached April 12
Total Tonnage		**27,418**		

CHATTOGRAM - Port Position as of April 14, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Adriatic Energy*	*32,303*	*LPG*	*Beached April 08*
2	Agia Trias	22,143	Bulk Carrier	Arrived April 12
3	Grace Energy	30,426	LNG	Arrived April 14
4	Ida	9,828	Tanker	Arrived April 07
5	Lily Breeze	9,898	Bulk Carrier	Arrived April 07
6	Rowan	2,755	General Cargo	Arrived April 07
7	Salamis	9,238	Tanker	Arrived April 04
8	*Shravan*	*7,399*	*Container*	*Beached April 08*
9	*Sun Bulk*	*7,553*	*Bulk Carrier*	*Beached April 11*
10	Sunny Voyager	22,706	Bulk Carrier	Arrived April 06
11	*Vir*	*10,540*	*Bulk Carrier*	*Beached April 08*
12	*Yu Hai*	*5,017*	*Bulk Carrier*	*Beached April 08*
13	*Yuang Da Fa 102*	*1,736*	*Reefer*	*Beached April 10*
Total Tonnage		**171,542**		

GADANI - Port Position as of April 14, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Madina 1	1,657	Tanker	Arrived March 03
Total Tonnage		**1,657**		

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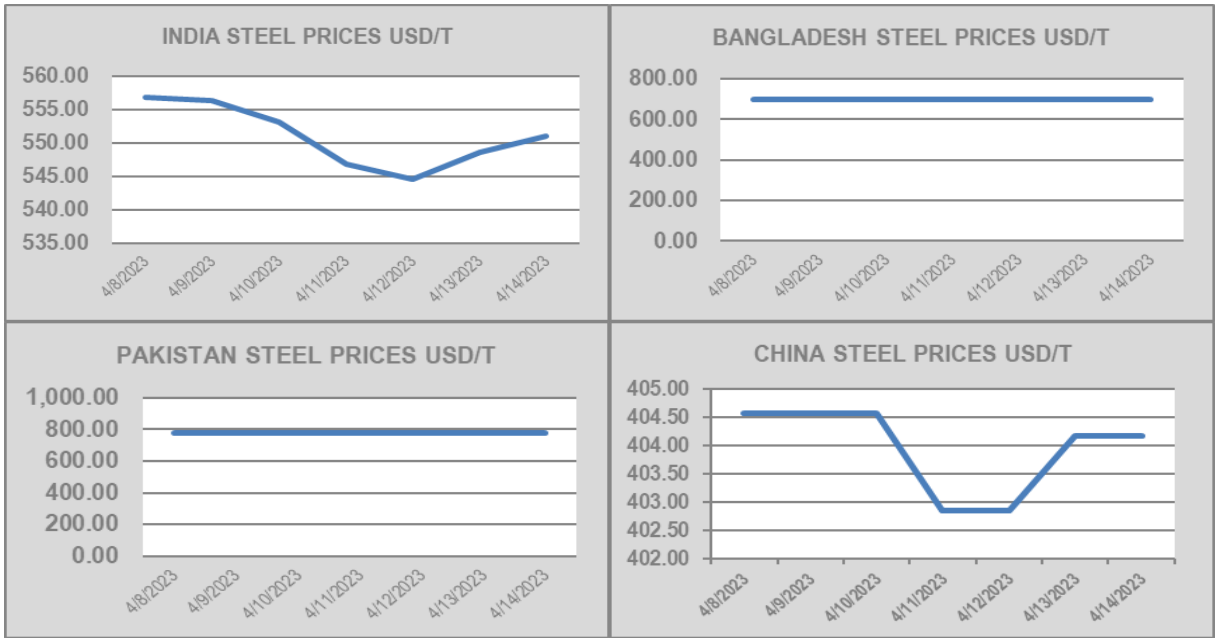
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/8/2023	556.78	45,600.00	777.39	220,000.00	697.12	72,500.00	404.57
4/9/2023	556.44	45,600.00	777.39	220,000.00	697.12	72,500.00	404.57
4/10/2023	553.11	45,300.00	777.39	220,000.00	697.12	72,500.00	404.57
4/11/2023	546.76	44,900.00	777.39	220,000.00	697.12	72,500.00	402.86
4/12/2023	544.59	44,700.00	777.39	220,000.00	697.12	72,500.00	402.86
4/13/2023	548.56	44,900.00	777.39	220,000.00	697.12	72,500.00	404.18
4/14/2023	551.01	45,100.00	777.39	220,000.00	697.12	72,500.00	404.18



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